STORM ON THE BOURSES

Rising oil prices, continuing geopolitical uncertainty and FPI outflows exact a brutal toll on Indian stock markets

By M.G. ARUN



REUTERS

Markets hate uncertainty, not war, they say. But when war is raging, markets do not remain immune to its blows. It was no different for the Indian bourses, with the BSE Sensex falling 11.6 per cent—from 82,249 points to 72,696— between February 28, when the US and Israel declared war on Iran, and March 23, when President Donald Trump announced a five-day withholding of strikes. Meanwhile, surging oil prices and major foreign portfolio investor (FPI) outflows saw Rs 48.29 lakh crore, or nearly 10.4 per cent of total investor wealth, disappear in the fog of war. The market capitalisation of BSE-listed companies came down from Rs 463 lakh crore to Rs 415 lakh crore in this period.

Markets took their sharpest dip on March 23 as Trump's earlier 48-hour ultimatum to Iran to open the Strait of Hormuz began to run out. Iran said it would respond in kind, targeting energy facilities in the GCC (Gulf Cooperation Council) region. The sabre-rattling took a 1,836-point, or 2.46 per cent, toll on the Sensex, while the Nifty 50 fell 602 points or 2.6 per cent. Later in the day, Trump instructed the US military to postpone any strike on Iranian energy infrastructure by five days, which drove up market sentiment by 1,372 points on March 24. Brent crude prices, too, fell 6 per cent to $106 a barrel on March 23 after Trump's announcement. The situation should improve further as Iran conveyed to the UN that it would allow non-hostile ships through the Strait of Hormuz.

"MY ADVICE TO RETAIL INVESTORS IS NOT TO GO AGGRESSIVE. IT IS BETTER TO KEEP INVESTED IN LARGE AND MEDIUM-CAP COMPANIES. ALSO, ALWAYS KEEP SOME DRY POWDER"

— NILESH SHAH, *CEO & MD, Kotak Mahindra AMC*

The aviation, banking, energy, manufacturing and consumer goods, and infrastructure and capital goods sectors saw the most selling pressure. Aviation was impacted both by high